Management Discussion and Analysis

For the fourth quarter and year ended December 31, 2025

Kiatnakin Phatra Bank Public Company Limited

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Overall market environment

Thailand's economy expanded at a modest pace of 2.4% in 2025, reflecting several persistent headwinds over the past year. Key factors weighing on economic performance included (1) A slowdown in the tourism sector, driven primarily by a decline in Chinese tourist arrivals following ongoing concerns regarding travel safety in Thailand. As a result, total international tourist arrivals in 2025 were approximately 33 million, down from 35.1 million in the prior year (2) Industrial production continues to face headwinds from a sustained erosion of competitiveness across key manufacturing segments, despite some support to electronics production from front-loaded exports to the US ahead of reciprocal tariff announcements. (3) Private consumption remains under pressure, particularly in durable goods, due to an ongoing contraction in bank credit. Despite these challenges, Thailand's economy recorded stronger-than-expected growth in the fourth quarter of 2025, supported by continued robust expansion in electronics exports, a significant acceleration in public investment spending following improved budget disbursement, and a pickup in private consumption, driven by accelerated purchases of electric vehicles ahead of the expiration of the government's EV 3.0 price support scheme.

During 2025, the Monetary Policy Committee (MPC) cut policy interest rates throughout the year, resulting in the policy rate being lowered to 1.25% by the end of December 2025, in response to slowing economic activity and inflation, as well as tighter financial conditions. The tightening has been particularly pronounced for small businesses and low-income households, which face higher vulnerability and more severe pressures, reflected in a sharp contraction in SME lending. In addition, inflation remained negative for nine consecutive months in 2025, resulting in full-year inflation of -0.14%, underscoring persistent weakness in domestic economic conditions.

In 2026, Thailand's economic recovery is expected to remain fragile and slow further from 2025, with growth projected to stay below potential at around 1.6% before gradually improving in the following year. The economy continues to face several key headwinds: (1) elevated household debt and sluggish income recovery are constraining commercial bank lending, further weighing on durable goods consumption, particularly automobiles and housing; (2) the manufacturing sector is likely to come under renewed pressure from a slowdown in exports following front-loaded shipments ahead of US import tariff hikes in the previous year, with the electronics sector particularly vulnerable after earlier export acceleration; and (3) the tourism sector's contribution to growth is diminishing as tourist arrivals return closer to normal levels, while growth in tourism-related businesses is expected to slow significantly compared with the post-COVID recovery phase. Headline and core inflation are projected to remain below the Bank of Thailand's target range, driven by declining global energy prices and persistently weak domestic demand amid the slow economic recovery. Low inflation, sub-potential growth, and continued contraction in commercial bank credit are expected to prompt the Bank of Thailand to further ease monetary policy, with the policy rate projected to be cut to 1.0%.

Key downside risks to Thailand's economic outlook in 2026 include: (1) a continued contraction in commercial bank credit alongside an acceleration in non-performing loans, which would heighten risks to financial stability and significantly weigh on domestic durable goods consumption; (2) risks stemming from U.S. trade policies under President Donald Trump, as sharper import tariff hikes or stricter enforcement of transshipment rules could adversely affect global trade volumes and Thailand's export performance; (3) domestic political uncertainty, where disruptions to fiscal policy implementation or delays in government spending could undermine consumption and overall economic activity; and (4) a deeper contraction in industrial production due to worsening competitiveness and intensifying competition from Chinese products entering the domestic market.

Domestic auto sales during 2025 increased by 8.5% compared to the previous year. The key driver was the increase in passenger car segment led by electric and hybrid vehicles sales. Meanwhile sales of commercial

vehicles contracted pressured by income and the economic slowdown. The second-hand car market also faced challenges in 2025 due to economic slowdown and intensified price competition from Chinese automakers.

The Stock Exchange of Thailand (SET) Index continued its decline for the fourth consecutive year, reflecting structural challenges facing the Thai economy, including diminishing long-term growth potential, heightened political uncertainty, fiscal policies focused on short-term consumption stimulus with a low fiscal multiplier, and a monetary policy stance that remains tighter than warranted. By the end of 2025, the SET Index declined by 10.0% to close at 1,259.67 points, down from 1,400.21 points at the end of 2024. The average daily trading value on the SET and MAI (Market for Alternative Investment) markets in 2025 stood at Baht 41,045 million, representing a further decline of 11.8% from Baht 46,551 million in 2024.

Strategic Collaboration with Goldman Sachs Asset Management

In alignment with the Bank's strategic direction to strengthen and expand its core business pillars, Kiatnakin Phatra Financial Group (KKP) entered into a strategic collaboration with Goldman Sachs Asset Management during 2025. This partnership is intended to broaden global investment opportunities for Thai investors, whereby Goldman Sachs Asset Management will provide investment advisory services in multi-asset strategies exclusively to KKP in Thailand, subject to the terms of the relevant agreement. This collaboration marks a significant step forward in KKP's ongoing efforts to enhance its wealth management capabilities and reflects Goldman Sachs Asset Management's long-term commitment to growing its third-party wealth business. As part of the collaboration, Goldman Sachs Asset Management will provide KKP with investment advisory services through model portfolios in multi-asset strategies. In addition, KKP will gain access to Goldman Sachs Asset Management's global market insights and benefit from regular knowledge sharing between the two firms.

The collaboration with Goldman Sachs Asset Management will elevate KKP's ability to deliver world-class, globally diversified portfolios tailored to the evolving needs of Thai investors. By combining Goldman Sachs Asset Management's global investment capabilities with KKP's local knowledge, the partnership aims to provide differentiated opportunities to investors in Thailand.

Operating results of the Bank and subsidiaries for the year 2025 and for 4Q25

For the year 2025, driven by the Bank's continued commitment to prudent credit quality management, overall asset quality has improved to a well-controlled level. At the same time, the Bank continued to execute its strategic initiatives to expand and diversify its business portfolio, resulting in broader revenue contribution across multiple business lines. Consequently, Kiatnakin Phatra Bank and its subsidiaries delivered solid performance for the year 2025 with total net profit of Baht 5,913 million, an increase of 17.5% from 2024, and total comprehensive income of Baht 6,504 million, up 24.2% YoY.

The increase in net profit was primarily attributable to a significant reduction in losses from the sale of repossessed vehicles, alongside a decline in expected credit losses, compared with the prior year. In addition, overall performance strengthened as the Bank continued to implement its strategic initiatives aimed at broadening revenue sources and increasing the contribution of non-interest income, resulting in a YoY strong increase in non-interest income. The growth in non-interest income helped mitigate the impact from lower interest income, which declined following the Bank's measures to moderate loan growth during the period.

In 2025, non-interest income increased 18.2% YoY, mainly driven by strong growth in wealth management business, contributions from the Dime! business, asset management business, bancassurance fee, and gains on

financial instruments measured at fair value through profit or loss (FVTPL) in line with market conditions. Kiatnakin Phatra Securities continued to maintain its position as the No. 1 securities brokerage firm in the market, with a market share[1] of 22.18% for 2025. These positive drivers helped to alleviate the decline in net interest income of 13.1% YoY, which continued to soften and largely reflected slower loan growth under the Bank's asset quality-focused strategy emphasizing higher-quality lending, as well as narrower interest spreads aligned with the declining interest-rate environment throughout 2025 and impact from customer support measures. At the same time, effective funding cost management amid slower loan expansion and declining interest rates helped reduce the Bank's overall funding costs.

As of the end of 2025, total loans declined by 6.7% YoY, consistent with the Bank's focus on prioritizing asset quality. Credit quality remained well controlled, with a reduction in the amount of non-performing loans. The non-performing loan (NPL)[2] ratio stood at 4.3% as of the end of 2025. Losses from the sale of repossessed vehicles also declined significantly as the repossessed-car situations continued to improve. The Bank continued to adopt a prudent approach in maintaining an appropriate level of provisions. Total expected credit loss (ECL) provisioning for 2025 amounted to Baht 3,693 million, which include additional management overlay to address potential risks stemming from ongoing economic uncertainties that may affect asset quality, particularly among customers under various relief programs.

Summary of financial performance for the year 2025 and for 4Q25

Unit : Baht million	4Q25	3Q25	% QoQ	4Q24	% YoY	2025	2024	% YoY
Net Interest income	4,266	4,233	0.8	4,649	(8.3)	17,257	19,848	(13.1)
Non-interest income	2,337	2,496	(6.4)	2,163	8.0	8,217	6,954	18.2
Total operating income	6,602	6,729	(1.9)	6,813	(3.1)	25,473	26,802	(5.0)
Total other operating expenses	3,620	3,742	(3.3)	4,065	(11.0)	14,330	16,516	(13.2)
Expected credit losses	708	909	(22.0)	914	(22.5)	3,693	3,974	(7.1)
Profit from operating before income tax expenses	2,274	2,079	9.4	1,833	24.0	7,450	6,312	18.0
Income tax expenses	468	391	19.8	380	23.1	1,481	1,264	17.1
Net Profit (attributable to equity holders of the Bank)	**1,772**	**1,670**	**6.1**	**1,451**	**22.1**	**5,913**	**5,031**	**17.5**
Total Comprehensive income (attributable to equity holders of the Bank)	**1,479**	**2,074**	**(28.7)**	**1,430**	**3.4**	**6,504**	**5,235**	**24.2**
Basic earnings per share (Baht)	2.17	2.02	7.4	1.74	24.7	7.17	5.97	20.1

For the fourth quarter of 2025, Kiatnakin Phatra Bank and its subsidiaries reported total net profit of Baht 1,772 million, an increase of 22.1% from 4Q24. Total comprehensive income was Baht 1,479 million, up 3.4% YoY. The higher net profit was mainly due to a reduction in losses from the sale of repossessed vehicles and lower expected credit losses, reflecting improved asset quality, as well as a solid increase in non-interest income. The increase in non-interest income was supported by stronger contributions, particularly from the wealth management and Dime! businesses. Credit quality remained well controlled during 4Q25. The Bank set aside total expected credit losses of Baht 708 million for 4Q25, representing a decrease of 22.5% compared with the same period of 2024, reflecting the improvement in overall credit quality.

[1] Including SET and mai but excluding proprietary trading
[2] Excluding loans classified as purchased or originated credit-impaired financial assets (POCI)

Annualized Ratios (%)	4Q25	3Q25	4Q24	2025	2024
Net Profit (Baht million)	**1,772**	**1,670**	**1,451**	**5,913**	**5,031**
ROAE	11.0	10.5	9.3	9.3	8.1
ROAA	1.4	1.3	1.1	1.2	1.0
Comprehensive income (Baht million)	**1,479**	**2,074**	**1,430**	**6,504**	**5,235**
ROAE	9.2	13.0	9.2	10.2	8.5
ROAA	1.2	1.7	1.1	1.3	1.0
Loan growth	(0.7)	(3.5)	(1.4)	(6.7)	(7.8)
NPLs/ Total loans (excluding interbank and POCI)	4.3	4.3	4.2	4.3	4.2
Allowance for expected credit losses/ Total NPLs[3]	137.2	136.6	134.2	137.2	134.2

Net Interest Income

Unit: Baht million	4Q25	3Q25	% QoQ	4Q24	% YoY	2025	2024	% YoY
Interest income	**6,212**	**6,447**	**(3.6)**	**7,273**	**(14.6)**	**26,289**	**30,515**	**(13.8)**
Interest on loans	2,782	2,921	(4.7)	3,295	(15.6)	11,961	13,853	(13.7)
Hire purchase and financial lease income	2,870	2,953	(2.8)	3,323	(13.6)	11,983	13,885	(13.7)
Interest on POCI	17	17	1.9	17	(1.6)	65	93	(29.9)
Interest on interbank and money market items	191	202	(5.5)	240	(20.3)	834	1,267	(34.2)
Interest on securities	335	339	(1.3)	375	(10.6)	1,382	1,311	5.5
Others	17	15	12.5	23	(29.4)	63	106	(40.1)
Interest expense	**1,947**	**2,214**	**(12.1)**	**2,624**	**(25.8)**	**9,032**	**10,667**	**(15.3)**
Interest on deposits	1,387	1,616	(14.2)	1,901	(27.0)	6,619	7,383	(10.3)
Interest on interbank and money market items	62	61	1.7	102	(39.0)	247	396	(37.7)
Interest on debt issued and borrowings	100	118	(15.4)	175	(42.9)	498	1,038	(52.0)
Fees and charges on borrowings	3	3	(3.3)	5	(32.3)	13	16	(17.0)
FIDF and DPA fees	374	387	(3.5)	410	(8.8)	1,565	1,729	(9.5)
Others	20	28	(27.1)	31	(35.7)	90	105	(14.4)
Net Interest Income	**4,266**	**4,233**	**0.8**	**4,649**	**(8.3)**	**17,257**	**19,848**	**(13.1)**

For 2025, net interest income amounted to Baht 17,257 million, a decrease of 13.1% YoY. The decline was mainly attributable to a 13.8% contraction in interest income, driven by slower loan growth in line with the Bank's asset-quality-focused lending measures, which prioritized high-quality loan segments amid economic uncertainty. Additionally, interest income also declined due to the reduction in lending rates following cuts in the policy rate throughout 2025, as well as impacts from customer assistance provided under the "Khun Soo, Rao Chuay" support program. Meanwhile, interest expenses decreased by 15.3% YoY, reflecting effective and ongoing funding cost management together with the downward trend in market interest rates. As a result, the Bank's loan spread declined to 4.5% in 2025, compared with 4.8% in 2024.

For 4Q25, net interest income totaled Baht 4,266 million, representing a decline of 8.3% YoY. The decrease was primarily driven by the contraction in loans, in line with the Bank's asset quality management measures that emphasize high-quality loan origination. Meanwhile, loan spread decreased to 4.5%, compared with 4.6% YoY,

[3] Excluding loans classified as Purchased or originated credit-impaired financial assets (POCI)

reflecting the gradual reduction in funding costs, offset by lower loan yields following the downward trend in interest rates and the impact of customer assistance measures.

Compared to 3Q25, net interest income increased slightly by 0.8%, supported by an improvement in the loan spread, which rose to 4.5% from 4.4% in the previous quarter, mainly due to a continued decline in funding costs.

Loan Yield, Cost of Fund and Loan Spread

%	4Q25	3Q25	2Q25	1Q25	4Q24	2025	2024
Yield on loan	6.6	6.7	6.8	7.1	7.2	6.8	7.3
Cost of fund	2.0	2.3	2.4	2.5	2.6	2.3	2.5
Loan spread	4.5	4.4	4.4	4.6	4.6	4.5	4.8

Non-Interest Income

Unit: Baht million	4Q25	3Q25	% QoQ	4Q24	% YoY	2025	2024	% YoY
Fees and services income	1,971	1,879	4.9	1,874	5.2	7,128	6,411	11.2
Fees and services expenses	348	332	5.0	255	36.5	1,193	1,014	17.6
Fees and services income, net	1,623	1,547	4.9	1,619	0.2	5,935	5,396	10.0
Gain (loss) on financial instruments measured at fair value through profit or loss, net	482	663	(27.3)	484	(0.6)	1,440	1,147	25.5
Gain (loss) on investments, net	-	2	(100.0)	-	n/a	2	23	(91.3)
Dividend income	43	51	(16.2)	9	388.2	234	153	52.6
Other operating income	190	234	(19.0)	51	271.3	606	234	158.5
Total Non-Interest Income	**2,337**	**2,496**	**(6.4)**	**2,163**	**8.0**	**8,217**	**6,954**	**18.2**

For 2025, non-interest income totaled Baht 8,217 million, representing a solid increase of 18.2% YoY. The growth was driven by both net fee and service income and other operating income. Net fee and service income increased 10.0% YoY, mainly supported by higher contributions from the wealth management business, the Dime! business, asset management business in line with the growth in asset under advise, asset under platform, and asset under management, as well as higher bancassurance fee. Meanwhile, income from investment banking business declined due to market conditions that were less conducive to deal activity. Kiatnakin Phatra Securities continued to maintain its No. 1 market share in securities brokerage, recording a market share[4] of 22.18% in 2025. Meanwhile, other operating income also increased, primarily from higher gains on financial instruments measured at fair value through profit or loss (FVTPL) reflecting favorable market conditions, as well as an increase in income related to contributions received from the Financial Institutions Development Fund (FIDF) under the “Khun Soo, Rao Chuay” customer assistance program.

For 4Q25, non-interest income amounted to Baht 2,337 million, an increase of 8.0% YoY. The increase was driven by higher net fee and service income from the wealth management business, the Dime! business, asset management business, and bancassurance fee, partially offset by lower investment banking income compared to 4Q24. Other operating income also increased, mainly due to contributions from the FIDF related to customer relief measures.

[4] Including SET and mai but excluding proprietary trading

Compared to 3Q25, non-interest income decreased 6.4%. While net fee and service income continued to show strong increase of 4.9%, driven by higher contributions from the Dime! business, asset management business, increase in investment banking fees and rising bancassurance fee, this was offset by a decline in other operating income, primarily due to lower gains on financial instruments measured at fair value through profit or loss (FVTPL) in line with market movements.

Other operating expenses

Unit: Baht million	4Q25	3Q25	% QoQ	4Q24	% YoY	2025	2024	% YoY
Employee's expenses	2,004	2,054	(2.5)	1,851	8.2	7,646	7,194	6.3
Directors' remuneration	14	11	33.6	13	8.0	39	39	(0.6)
Premises and equipment expenses	394	354	11.2	353	11.7	1,478	1,414	4.5
Taxes and duties	143	141	1.5	153	(6.3)	585	671	(12.7)
Loss from revaluation of foreclosed assets (reversal)	136	76	79.8	(31)	(534.4)	223	(111)	(301.4)
Loss from sale of foreclosed assets	421	554	(24.0)	1,108	(62.0)	2,209	4,828	(54.3)
(Gain) loss from sale of foreclosed properties	(85)	(14)	497.4	8	1,213.2)	(193)	(4)	5,337.5
Loss from sale of repossessed cars	506	569	(10.9)	1,101	(54.0)	2,401	4,832	(50.3)
Other expenses	507	551	(8.1)	618	(18.0)	2,151	2,480	(13.3)
Total other operating expenses	**3,620**	**3,742**	**(3.3)**	**4,065**	**(11.0)**	**14,330**	**16,516**	**(13.2)**

For 2025, the Bank exercised discipline in cost management, leading to a reduction in total operating expenses to Baht 14,330 million, representing a 13.2% YoY decrease. In particular, losses from the sale of repossessed vehicles, declined to Baht 2,401 million, a substantial reduction of 50.3% YoY, in line with the continued decline in repossessed-car volumes. Other expenses remained well controlled. Excluding items related to foreclosed assets, the cost-to-income ratio for 2025 stood at 46.4%, compared with 44.0% in 2024.

For 4Q25, operating expenses amounted to Baht 3,620 million, a decrease of 11.0% YoY, primarily due to a considerable decline in losses from the sale of repossessed vehicles compared with the same period last year. Other operating expenses remained well managed. Excluding items related to foreclosed assets, the cost-to-income ratio for 4Q25 was 45.8%, compared with 43.9% in the same quarter of 2024.

Expected Credit Loss (ECL)

Unit: Baht million	4Q25	3Q25	% QoQ	4Q24	% YoY	2025	2024	% YoY
Expected Credit Losses	708	909	(22.0)	914	(22.5)	3,693	3,974	(7.1)
Credit Cost (%)	1.41	1.68		2.18		1.72	2.30	

For 2025, the Bank maintained a prudent provisioning framework, employing the expected credit loss (ECL) model with a comprehensive assessment of a broad range of risk factors. This included an evaluation of the potential effects of prolonged economic uncertainty on overall credit quality. For the year 2025, the expected credit losses amounted to Baht 3,693 million, a decline of 7.1% YoY. The amount also includes additional management overlay provisions to proactively address potential risks from the ongoing economic uncertainties, which may impact asset quality, particularly among customers participating in the "Khun Soo, Rao Chuay" relief program as

well as customers affected by the flood situation in the southern region. The combined credit cost, which includes both expected credit losses and losses from the sale of repossessed vehicles for the year 2025, was 1.72% of average loans, remaining well below the Bank's target range and down from 2.30% in 2024. This improvement reflects the effectiveness of the Bank's ongoing credit quality management measures, which have helped maintain overall asset quality at a well-controlled level. Additionally, the lower provisions were in line with the slowdown in loan volume.

For 4Q25, expected credit loss amounted to Baht 708 million, representing a decline of 22.5% from the same period last year. This amount includes additional consideration for the management overlay to accommodate potential future risks arising from the still-uncertain economic environment, which may affect credit quality. It also accounts for customers participating in various relief programs, including the "Khun Soo, Rao Chuay" scheme, as well as customers affected by the flood situation in the southern region. The expected credit loss and losses from the sale of repossessed vehicles (credit cost) for 4Q25 amounted to 1.41% of average loans, improving from 2.18% in 4Q24.

Statements of Financial Position

Assets

As of 31 December 2025, the Bank reported total assets on a consolidated basis of Baht 488,095 million, a decrease of 2.1% from the end of 2024, driven by a 6.7% decline in loans to customers and accrued interest receivables, consistent with the Bank's measure in moderating loan growth.

Assets (Baht million)	Consolidated		% change
	Dec 31, 2025	Dec 31, 2024	
Interbank and money market items, net	39,238	38,985	0.7
Financial assets measured at fair value through profit or loss	23,637	23,893	(1.1)
Derivatives assets	9,824	8,219	19.5
Investment, net	42,851	34,540	24.1
Loans to customers and accrued interest receivables, net	331,200	354,941	(6.7)
Properties foreclosed, net	6,426	6,984	(8.0)
Other assets	34,920	30,867	13.1
Total Assets	**488,095**	**498,429**	**(2.1)**

Liabilities and Shareholder's Equity

As of 31 December 2025, the Bank reported total liabilities on a consolidated basis of Baht 422,889 million, representing a 2.8% decrease from end of 2024. Both deposits and debt issued and borrowings continued to decline, in line with the strategic moderation in loan growth. The composition of deposits consisted of 46.8% in current and savings accounts, increasing from 34.5% level at the end of 2024 and 53.2% in term deposits. The loan-to-deposit and borrowing ratio stood at 94.4% at the end of 2025.

Shareholders' equity attributable to owners of the Bank as of the end of 2025 totaled Baht 64,772 million, an increase of 3.0% from the end of 2024. The increase is largely due to the net profit of the Bank's equity holders and offset by the dividend payment made during 2025.

For the share repurchase program, as of December 31, 2025, the Bank had repurchased shares under the share repurchase programs for financial management purposes, totaling 34.9 million shares with an aggregate value of Baht 1,950 million. The Bank has appropriated an equivalent amount from retained earnings to the treasury shares reserve. The repurchases comprised 19.0 million shares under Program 1 (project period from August 28, 2024 to February 27, 2025) with a total value of Baht 950 million, and 15.9 million shares under Program 2 (project period from September 4, 2025 to December 18, 2025) with a total value of Baht 1,000 million.

Liabilities and Equity (Baht million)	**Consolidated**		
	Dec 31, 2025	**Dec 31, 2024**	**% change**
Deposits	348,300	359,306	(3.1)
Current Account	1,612	1,741	(7.4)
Saving Account	161,249	122,335	31.8
Term Deposit	185,414	235,200	(21.2)
Certificate of Deposit	25	30	(18.8)
Interbank and money market items, net	13,078	17,399	(24.8)
Financial liabilities measured at fair value through profit or loss	3,017	825	265.7
Derivatives liabilities	9,832	9,116	7.9
Debt issued and borrowings	15,088	27,350	(44.8)
Other liabilities	33,574	21,222	58.2
Total Liabilities	**422,889**	**435,219**	**(2.8)**
Equity (attributable to equity holders of the Bank)	**64,772**	**62,910**	**3.0**
Total Liabilities and Equity	**488,095**	**498,429**	**(2.1)**

Capital Adequacy

The Group maintains a strong capital position and can adequately withstand the current uncertainties and is above the regulatory requirement (regulatory requirement and additional capital conservation buffer) of 11.0% for total capital ratio, 8.5% for Tier 1 capital and 7.0% for Common Equity Tier 1 capital. The Group performs capital management planning to maintain an appropriate level of capital which is consistent with the annual business plan of the Group including reviews during the year to ensure appropriate level of capital to withstand any uncertainties.

As of December 31, 2025, the consolidated Capital Adequacy Ratio (BIS ratio) under Basel III which included profit up to end of 2024 after dividend payment was at 17.36% while Tier 1 ratio was at 14.71%. When including net profit up to end of 4Q25 after interim dividend payment, the BIS ratio will increase to 18.58% while Tier 1 ratio will be 15.93%. The Group Tier 1 capital are all Common Equity Tier 1, contributing to 84.74% of total capital reflecting high quality of capital.

Capital Requirement (%)	**Minimum regulatory requirement**	**Capital Conservation Buffer**	**Total Capital Requirement**
Common Equity Tier 1	4.50	2.50	7.00
Tier 1 capital	6.00	2.50	8.50
Total capital	8.50	2.50	11.00

Total Capital and Capital Adequacy Ratio as of the end of December 2025 are as follows:

	Bank Only			Consolidated		
	Dec 2025	Sept 2025	Dec 2024	Dec 2025	Sept 2025	Dec 2024
Capital Requirement (Unit: Baht million)						
Common Equity Tier 1	47,861	48,533	48,323	54,569	55,574	54,769
Tier 1 capital	47,861	48,533	48,323	54,569	55,574	54,769
Total capital	**57,533**	**60,838**	**61,353**	64,399	**68,096**	**67,936**
Capital Adequacy Ratio (Unit: %)						
Common Equity Tier 1	13.67	13.74	13.07	14.71	14.60	13.98
Tier 1 capital	13.67	13.74	13.07	14.71	14.60	13.98
Total capital	**16.43**	**17.22**	**16.59**	**17.36**	**17.89**	**17.35**

Business Segment Performance

Kiatnakin Phatra Financial Group ("the Group") businesses are divided into two main areas: the Commercial Banking Business operated by the Bank and Capital Market Business operated by its subsidiaries which are comprised of KKP Capital, Kiatnakin Phatra Securities, KKP Dime Securities and Kiatnakin Phatra Asset Management.

Commercial Banking Business includes retail lending, commercial lending, corporate lending, Special Asset Management (SAM) or distressed asset management loan and other loans. The breakdown of total loan portfolio is as follows;

Loan Distribution by Segment

Type of loans[5] (Baht million)	**December 2025**	**September 2025**	**Change (% QoQ)**	**December 2024**	**Change (% YTD)**
Retail Lending	**234,055**	**238,722**	**(2.0)**	**252,752**	**(7.4)**
Hire Purchase	150,942	154,778	(2.5)	166,439	(9.3)
Personal loan	11,608	12,083	(3.9)	13,711	(15.3)
Micro SMEs loan	14,651	14,991	(2.3)	15,150	(3.3)
Housing loan	56,854	56,870	(0.0)	57,452	(1.0)
Commercial Lending	**52,771**	**55,062**	**(4.2)**	**55,748**	**(5.3)**
Real Estate Development loan	19,860	22,117	(10.2)	23,150	(14.2)
SMEs loan	32,911	32,945	(0.1)	32,597	1.0
Corporate Lending	52,255	47,697	9.6	51,754	1.0
Special Asset Management loan	1,174	1,202	(2.4)	1,250	(6.1)
Lombard loan	3,262	3,325	(1.9)	6,515	(49.9)
Total loans	**343,518**	**346,008**	(0.7)	**368,018**	(6.7)
Total loans (excluding POCI)	**343,087**	**345,549**	**(0.7)**	**367,547**	**(6.7)**

[5] Excluding accrued interest

As of the end of 2025, total loans, excluding POCI, amounted to Baht 343,087 million, a 6.7% contraction from the end of 2024. This aligns with the Bank's strategic approach to moderate loan expansion in response to persistent economic uncertainties and ongoing challenges in the automotive sector. The Bank will concentrate its loan expansion strategy on segments that demonstrate strong credit quality and sustainable profitability. Details of loan distribution by segment are as follows:

- **Retail Lending** amounted to Baht 234,055 million, decreasing by 7.4% from the end of 2024. Retail loans include hire purchase loans, personal loans, Micro SMEs loans and housing loans.
  - **Hire purchase loans** totaled Baht 150,942 million, contraction of 9.3% from the end of 2024. The portion of hire purchase loans to the Bank's total loan portfolio was at 44%, with the ratio of new cars to used cars remaining relatively stable at 36:64. The domestic automobile market during 2025 improved with total vehicle sales expanding by 8.5% YoY, primarily due to the expansion in electric vehicle (EV) sales. The Bank's penetration rate for new car loans in the domestic new car sales market for 2025 declined slightly to 2.8% comparing to 3.0% the same period last year, in line with the Bank's direction to maintain a disciplined approach to loan growth.
  - **Other retail loans** amounted to Baht 83,113 million, contracted by 3.7% from the end of 2024 largely from the decline in personal loan segment.
- **Commercial Lending** business loans amounted to Baht 52,771 million, contracted by 5.3% from the end of 2024. Commercial Lending includes real estate development loans and SMEs loans details are as follows:
  - **Real estate development loans** totaled Baht 19,860 million, declining by 14.2% from the end of 2024 largely due to customers' repayments.
  - **SMEs loans** were Baht 32,911 million, expanded by 1.0% from the end of 2024
- **Corporate Lending** provides lending services to listed companies and large corporates or financing for investment banking transactions of Capital Market Business. Current outstanding loans totaled Baht 52,255 million, slight expansion of 1.0% from the end of 2024.
- **Special asset management (SAM)** is responsible for distressed asset management business and sale of foreclosed assets. Current outstanding loans totaled Baht 1,174 million. Assets under SAM were subjected to change in classification from TFRS 9 for financial assets classified as purchased or originated credit impaired from previous classification of Investments in loans.
- **Lombard Loan**, a multi-purpose credit facility for Wealth Management clients using financial assets as collateral. Current outstanding loans totaled Baht 3,262 million, declining by 49.9% from the end of 2024.

Loan classifications and Allowance for expected credit losses (ECL)

In accordance with the TFRS 9 framework, the Bank has adopted a cautious and forward-looking approach in establishing provisions for expected credit losses, factoring in prevailing uncertainties. Asset quality across all loan segments is subject to continuous and rigorous monitoring. The Bank maintains a disciplined provisioning approach and regularly assesses the adequacy of these reserves, particularly in response to early indicators of potential deterioration in asset quality. As of the end of 2025, allowance for expected credit losses totaled Baht 20,167 million. The total allowance for expected credit losses to total NPLs ratio (coverage ratio) increased to 137.2% at the end of 2025, up from 134.2% at the end of 2024.

Under TFRS 9, loans and accrued interest receivables as of the end of December 2025 are classified into stages as follows:

Unit : Baht million	December 2025		September 2025		December 2024	
	Total Loans and Accrued Interest Receivables	Expected Credit Losses (ECL)[6]	Total Loans and Accrued Interest Receivables	Expected Credit Losses (ECL)[6]	Total Loans and Accrued Interest Receivables	Expected Credit Losses (ECL)[6]
Stage 1 : Performing financial assets	314,057	7,188	314,076	7,043	330,736	6,733
Stage 2 : Under-Performing financial assets	19,821	4,444	22,551	4,941	26,605	5,767
Stage 3 : Non-Performing financial assets	16,516	8,431	16,961	8,299	17,473	8,215
Purchased or originated credit-impaired financial assets	743	105	757	105	734	86
Total	**351,138**	**20,167**	**354,345**	**20,388**	**375,549**	**20,801**

NPLs distribution by loan type

NPLs	December 2025		September 2025		December 2024	
(Baht million)	Amount	% of loans	Amount	% of loans	Amount	% of loans
Retail Lending	**7,061**	**3.0**	**7,428**	**3.1**	**8,290**	**3.3**
Hire Purchase	3,890	2.6	4,324	2.8	5,515	3.3
Personal loan	120	1.0	102	0.8	114	0.8
Micro SMEs loan	2,258	15.4	2,210	14.7	1,826	12.1
Housing loan	793	1.4	791	1.4	835	1.5
Commercial Lending	**4,289**	**8.1**	**4,304**	**7.8**	**3,985**	**7.1**
Real Estate Development loan	2,489	12.5	2,465	11.1	2,080	9.0
SMEs loan	1,800	5.5	1,839	5.6	1,905	5.8
Corporate Lending	2,919	5.6	2,760	5.8	2,795	5.4
Special Asset Management loan	864	73.6	892	74.2	904	72.3
Lombard loan	-	0.0	-	0.0	-	0.0
Total NPLs	**15,133**	**4.4**	**15,385**	**4.4**	**15,975**	**4.3**
Total NPLs (excluding POCI)	**14,702**	**4.3**	**14,925**	**4.3**	**15,503**	**4.2**

As of the end of 2025, the Non-Performing Loans (NPLs) or Stage 3 loans, excluding POCI totaled Baht 14,702 million, remaining within control and declining from Baht 15,503 million from the end of 2024 driven largely by improvement in the hire purchase segment. The percentage of NPLs to total loans as of the end of 2025 stood at 4.3% from 4.2% at the end of 2024 largely from the contractions in loan portfolio. The Bank continues to proactively manage the loan portfolio quality through debt restructuring, write off and through various assistance measures as appropriate for each customer segment as well as focusing on loan expansions in quality segments.

Capital Market business comprises of brokerage business, investment banking business, investment business, asset management business and digital financial and investment services. Details are as follows:

[6] Including ECL for loans and loan commitments and financial guarantees

- **Equity and Derivatives Brokerage Business**

Kiatnakin Phatra Securities Public Company Limited ("KKPS") operates agency business providing both securities and derivatives brokerage services to local and foreign institutional investors, as well as high net worth individuals under Wealth Management. For high net worth clients, other wealth management products are provided such as local and foreign mutual funds and structured products. For 2025, the market share[7] of KKPS was 22.18%, ranking 1st from total 37 brokers. KKPS generated brokerage revenue totaling Baht 1,124 million[8] comprising of equity brokerage revenue of Baht 880 million, derivatives brokerage revenue of Baht 234 million and other brokerage revenue of Baht 10 million. Additionally, KKPS also had brokerage revenue from selling agent fees of Baht 1,593 million[9].

- **Investment Banking Business**

Investment banking business, operated by KKPS, provides financial advisory service as well as underwriting service. For 2025, total revenue of the investment banking business which includes financial advisory fee, underwriting fee, revenue from tender offer agent and equity brokerage revenue totaled Baht 367 million.

- **Investment Business**

Investment Business is managed by 2 departments, comprising of Direct Investment Department ("DI"), with medium to long-term investment horizon, and Equity and Derivatives Trading Department ("EDT"). EDT focuses on equity and equity-linked securities in the capital market and derivatives market, with short-term investment not more than 1 year by applying arbitrage investment strategy as well as issuing and offering financial structured products. In 2025, DI recorded loss on investment including other comprehensive income totaling Baht 225 million. Meanwhile, EDT generated gain on investment totaling Baht 822 million[10]. Additionally, there were other investment incomes from treasury and liquidity management, resulting in overall comprehensive investment gain of Baht 1,500 million.

- **Asset Management Business**

Kiatnakin Phatra Asset Management Company Limited ("KKPAM"), operating under mutual fund and private fund management licenses, offers fund management services to individuals and corporate customers. KKPAM's mutual fund AUM as of 31 December 2025 was Baht 273,864 million with total 193 funds under management consisting of 192 mutual funds and 1 property funds. KKPAM's market share in terms of mutual fund was 4.24%. In 2025, KKPAM's fee income from mutual fund business totaled Baht 1,323 million. Asset under management from private fund amounted to Baht 23,253 million with KKPAM's fee income from private fund business totaled Baht 80 million.

- **Digital Financial and Investment Services**

The Group has set up KKP Dime Securities Company Limited ("KKP Dime") which obtained the securities businesses license from the Securities and Exchange Commission. Currently, KKP Dime operates agency business providing local mutual fund, foreign and local securities brokerage services, bond investment services, gold investment services and foreign currency deposit account (Dime! FCD) of Kiatnakin Phatra Bank to individual clients focusing on the mass segment. During 2025, KKP Dime added options trading and travel insurance purchasing services to the application. For 2025, KKP Dime generated revenue from local mutual fund, foreign and

[7] Including SET and mai but excluding proprietary trading
[8] Including brokerage revenue received from subsidiary company
[9] Including selling agent fee received from subsidiary company
[10] Income before deducting the cost of hedging, once deducting those costs, net gain was Baht 716 million

domestic securities brokerage services, derivatives brokerage revenue, interest revenue and other revenue totaling Baht 802 million[11].

ESG Trends and Impact on the Group's Business Performance

In 2025, the sustainability landscape and related regulations, both globally and domestically, have become increasingly stringent, with a stronger focus on enhancing sustainability disclosures, allocating capital to support the transition, and managing sustainability related risks. These trends are reflected in countries' heightened commitments to addressing climate change. Thailand's updated Nationally Determined Contribution (NDC) 3.0 sets out the national target toward achieving net zero greenhouse gas emissions by 2050, alongside capital market developments that encourage listed companies to strengthen sustainability disclosures, and the ongoing development of the Thailand Taxonomy as a reference framework for classifying economic activities from an environmental perspective. These developments may have implications for financing decisions involving high carbon businesses and for risk management within the financial sector.

Under this context, Kiatnakin Phatra Financial Group has continued to monitor and study sustainability developments, while reviewing relevant regulations and guidelines to integrate sustainability considerations across the Group's operations. This includes setting Group-level sustainability policies, expanding the scope of ESG risk assessments for corporate lending clients, providing financing to support customers through the transition, and developing financial products and services aligned with the shift toward a low-carbon economy. In addition, sustainability and ESG considerations have been incorporated into the process of developing and reviewing the Group's business plan to support effective risk management and long-term sustainable growth.

[11] Include income from the parent and related company

Profit and Loss Transaction

For the year ended December 31,	Consolidated		Change
(Baht Thousand)	2025	2024	%
Interest income	26,289,054	30,514,872	(13.8)
Interest expenses	9,032,257	10,667,066	(15.3)
Interest income, net	17,256,797	19,847,806	(13.1)
Fees and services income	7,128,122	6,410,698	11.2
Fees and services expenses	1,192,911	1,014,403	17.6
Fees and services income, net	5,935,211	5,396,295	10.0
Gain (loss) on financial instruments measured at fair value through profit or loss, net	1,439,825	1,147,164	25.5
Gain (loss) on investments, net	1,978	22,772	(91.3)
Dividend income	233,691	153,150	52.6
Other operating income	605,954	234,401	158.5
Total operating income	25,473,456	26,801,588	(5.0)
Other operating expenses			
Employee's expenses	7,646,176	7,193,636	6.3
Directors' remuneration	39,117	39,353	(0.6)
Premises and equipment expenses	1,477,535	1,414,232	4.5
Taxes and duties	585,188	670,628	(12.7)
Loss from revaluation of foreclosed assets (reversal)	223,062	(110,738)	(301.4)
Loss from sale of foreclosed assets	2,208,549	4,828,497	(54.3)
Other expenses	2,150,806	2,480,083	(13.3)
Total other operating expenses	14,330,433	16,515,691	(13.2)
Expected credit losses	3,693,157	3,973,618	(7.1)
Profit from operating before income tax expenses	7,449,866	6,312,279	18.0
Income tax expenses	1,480,528	1,263,999	17.1
Net profit	5,969,338	5,048,280	18.2
Net profit attributable to:			
Equity holders of the Bank	5,912,913	5,030,748	17.5
Non-controlling interests	56,425	17,532	221.8
Total comprehensive income attributable to:			
Equity holders of the Bank	6,503,521	5,234,533	24.2
Non-controlling interests	55,760	17,514	218.4
Basic earnings per share (Baht)	7.17	5.97	20.1

KIATNAKIN PHATRA

Profit and Loss Transaction

For the three-month period ended December 31,	Consolidated		Change
(Baht Thousand)	2025	2024	%
Interest income	6,212,162	7,273,004	(14.6)
Interest expenses	1,946,592	2,623,667	(25.8)
Interest income, net	4,265,570	4,649,337	(8.3)
Fees and services income	1,971,434	1,874,291	5.2
Fees and services expenses	348,434	255,226	36.5
Fees and services income, net	1,623,000	1,619,065	0.2
Gain (loss) on financial instruments measured at fair value through profit or loss, net	481,662	484,397	(0.6)
Gain (loss) on investments, net	-	-	n/a
Dividend income	42,512	8,708	388.2
Other operating income	189,533	51,040	271.3
Total operating income	6,602,277	6,812,547	(3.1)
Other operating expenses			
Employee's expenses	2,003,842	1,851,486	8.2
Directors' remuneration	14,222	13,171	8.0
Premises and equipment expenses	394,042	352,689	11.7
Taxes and duties	143,032	152,593	(6.3)
Loss from revaluation of foreclosed assets (reversal)	136,248	(31,368)	(534.4)
Loss from sale of foreclosed assets	421,346	1,108,157	(62.0)
Other expenses	506,949	618,347	(18.0)
Total other operating expenses	3,619,681	4,065,075	(11.0)
Expected credit losses	708,341	914,025	(22.5)
Profit from operating before income tax expenses	2,274,255	1,833,447	24.0
Income tax expenses	468,069	380,314	23.1
Net profit	1,806,186	1,453,133	24.3
Net profit attributable to:			
Equity holders of the Bank	1,772,010	1,451,311	22.1
Non-controlling interests	34,176	1,822	1,775.7
Total comprehensive income attributable to:			
Equity holders of the Bank	1,479,066	1,430,400	3.4
Non-controlling interests	33,580	1,796	1,769.7
Basic earnings per share (Baht)	2.17	1.74	24.7